

Employee Attrition Report

BINGO BOXES INC.

FOR JENNIFER HOLT, CEO

Summary

This report will show an analysis of employee attrition based on 12,075 employee records. The data reveals critical issues regarding employee turnover and must be dealt with immediately.

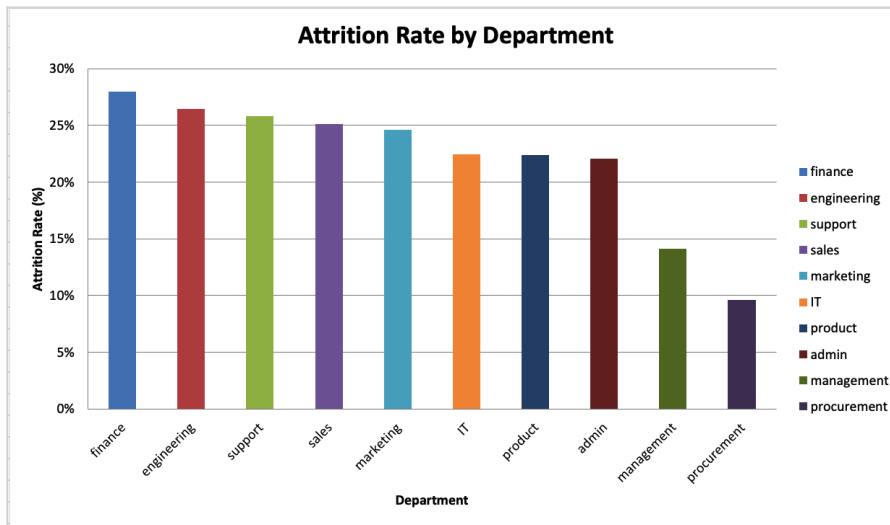
Findings

- Overall attrition percentage is **24.4%**; **2950** out of **12075** employees have left
- The finance department has the highest attrition rate at **28%**
- Most employees leave after **5 years** of employment (**57%**)
- On average low salary employees show the highest attrition rate percentage (**31.04%**)
- Attrition percentage heavily favors non-promoted employees (**25%**)
- Employees who have 7 or more projects have a **100%** attrition rate

Data Analysis

1. Attrition Rate by Department

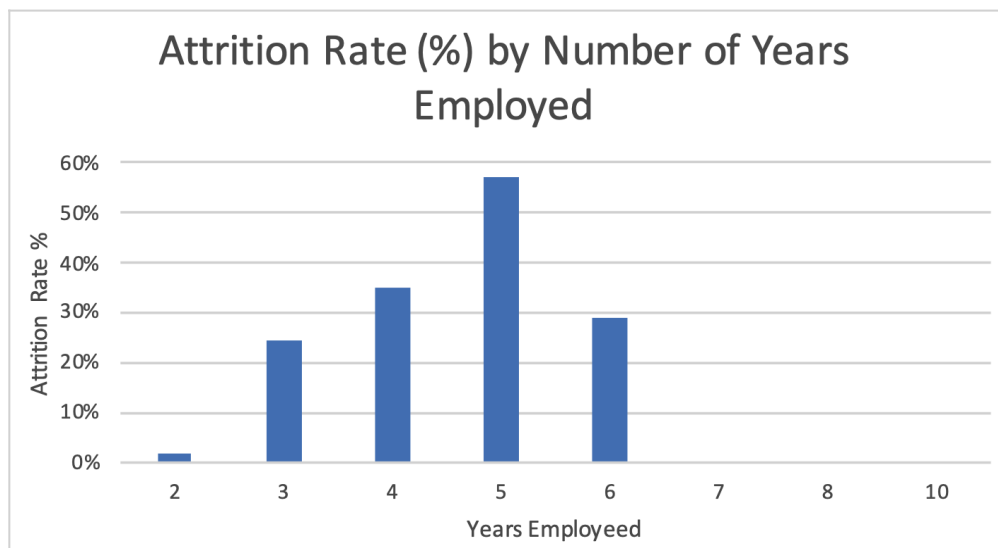
The data shows a complete picture of all the departments' varying attrition rate percentage. The finance and engineering departments are the two departments with the highest attrition rate percentage of **28%** and **26%** respectively. By contrast, the procurement departments' attrition rate is only 10%; only 15 employees have left out of a total of 141 employed.



Department	Total Employees	Employed	Left	Attrition Rate (%)
finance	665	479	186	28%
engineering	2348	1727	621	26%
support	1914	1420	494	26%
sales	3571	2675	896	25%
marketing	735	554	181	25%
IT	1226	951	275	22%
product	768	596	172	22%
admin	154	120	34	22%
management	538	462	76	14%
procurement	156	141	15	10%

2. Attrition by Number of Years Employed

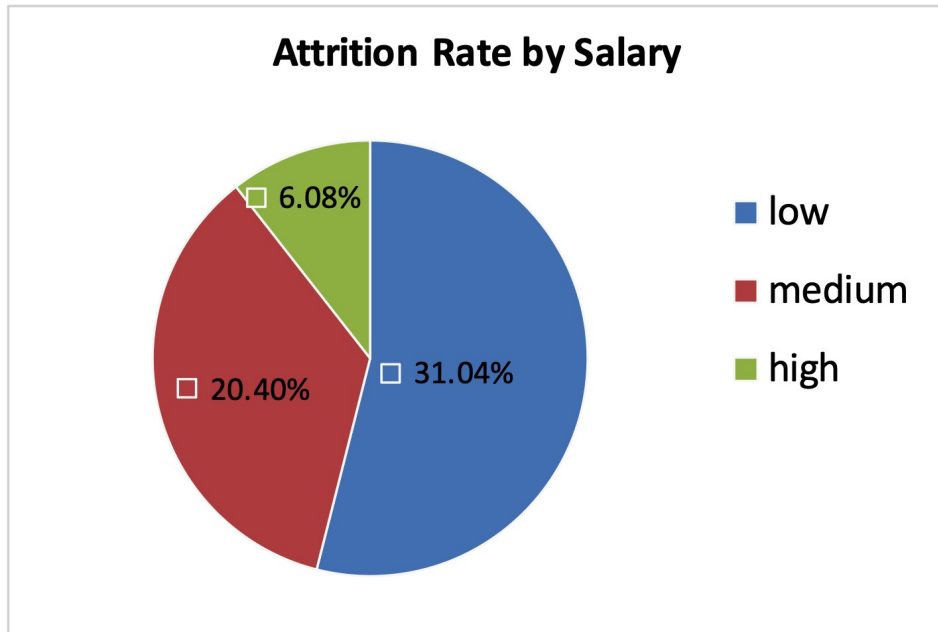
A dramatic bell curve is revealed when the data is compiled into a graph. Attrition peaks at the 57% rate when an employee reaches their 5th year of employment. This could be our employees' plateau and find other job opportunities with a high ceiling level, to advance their career. A positive of this data is the lowest attrition rate being at **27%** when an employee is with the company for two years. This shows strong initial engagement with new hires.



Years Employed	Total Employees	Employed	Left	Attrition Rate (%)
2	2461	2420	41	2%
3	4876	3682	1194	24%
4	2285	1491	794	35%
5	1299	557	742	57%
6	623	444	179	29%
7	182	182	0	0%
8	149	149	0	0%
10	200	200	0	0%

3. Attrition by Salary Level

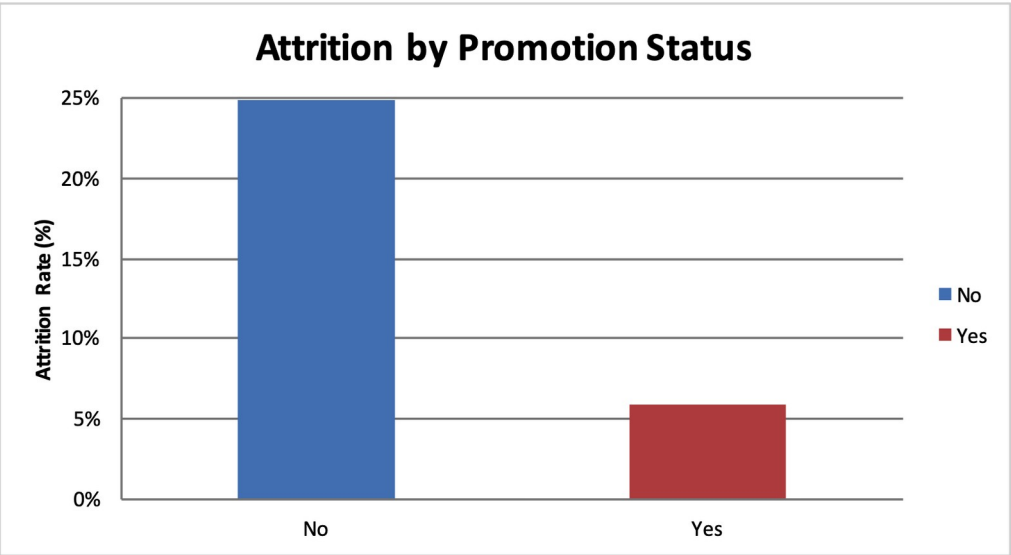
Compensation levels have been found to be key factors in effecting the attrition percentage. Low salary employees experience a **31.04%** attrition rate which is almost five times the amount of the high salary employees. With a total of **1,825** low salary employees leaving, reducing this number will yield substantive positive results to the overall attrition percentage.



Salary Level	Total Employees nploy		Left	Attrition Rate (%)
low	5880	4055	1825	31%
medium	5225	4159	1066	20%
high	970	911	59	6%

4. Attrition by Promotion Status

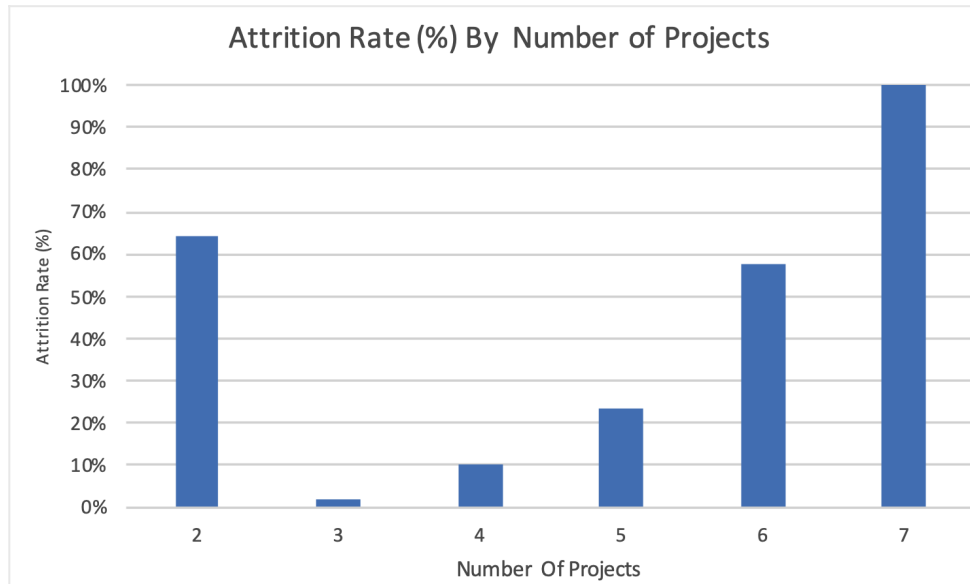
While promotion status contributes to the lowest attrition percentage, it's still a significant amount that must be lowered. Overall employees who have not been promoted have an attrition rate of **25%**. This clearly states a strong relationship with how individual employees view promotions. With only 254 total employees with a promotion, there is room to increase our overall promotion rate.



Promotion Status	Total Employees	Employed	Left	Attrition Rate (%)
No	11821	8886	2935	25%
Yes	254	239	15	6%

5. Attrition by Number of Projects

The graph below follows a U-shaped curve where the attrition rate peaks at each end when the number of projects an employee has is 2 or 7. When the number of projects an employee must work on is 7, the attrition rate is at an alarming **100%**. The optimal range of projects an employee must work on is between three and five, producing the lowest attrition rate %.



Number of Projects	Total Employees	Employed	Left	Attrition Rate (%)
2	1856	668	1188	64%
3	3201	3143	58	2%
4	3442	3096	346	10%
5	2323	1783	540	23%
6	1024	435	589	58%
7	229		229	100%

Recommendations

Based on the results from the data, the following recommendations should be considered.

1. Compensation for low salaried employees

With a 31% attrition rate, even a small change could yield a significantly greater ROI and reduce costs.

2. Rework project balancing per employee

This is one of the most important changes; it is recommended to immediately rebalance the workload each employee has. The range that produces the lowest attrition percent is between 3 and 5 projects. Any employee who falls out of the range must have their projects rebalanced to fit inside.

3. Expand employee paths to promotions

With only 254 out of our 12,075 employees with promotions, it is suggested to increase promotion opportunities within the company.

4. Department specific solutions

The Finance and Engineering departments are the key contributors to the overall attrition rate. Consider examining each department on an individual level and exploring what could be leading causes. Also examine the procurement department; it has the lowest attrition rate, find out why it's doing so well.

5. Keep long term employees happy

This could be in the form of a retention program.

Conclusion

The employee attrition levels are critical but ultimately solvable. The data given above identifies potential root causes that must be reworked, from inadequate compensation for lower paid employees, to workload balance. These are strong issues within the organization that if fixed, can reduce costs and improve productivity.

HR DATA ANALYST
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